

RED TEAM · KILL MEMO

The strongest case against the program, and what survived it | HGF Management Company | July 2026

Six honest attempts to kill INSITE, what died, and what survived.

Prepared for Dennis Lanni | HGF Management Company | July 2026

Method: each attack below was argued as if by an opponent whose only job is to end the program. Casualties are claims or features removed from the package, not softened. Survivors carry their defense.

Attack 1: Legal

The case against. A special tax on future homeowners approved by a single landowner invites challenge; small privately placed notes flirt with securities law; annexation-by-signature could be attacked as an election shortcut; school fees drag districts into scope.

What survived, and why. The election procedure is not a loophole: the Act itself makes landowners the electors on land with fewer than twelve registered voters, and the one-page Unanimous Approval path operates today in named districts. Zone-level notes secured by zone-level taxes are expressly contemplated (section 53339.3(d)). The securities exposure is handled the way the market handles it: private placement to a sophisticated purchaser, formal bond counsel opinions on every transaction, and marketing that carries a not-an-offer sentence. **Casualties:** any external use before bond counsel review (gated); school fees (excluded at launch); any pretense that this memo is legal advice (it is not, and says so). **Residual risk:** a hostile validation challenge on deal one; counsel will advise whether a validation action is worth its cost.

Attack 2: Credit

The case against. Undeveloped lots are the collateral that dies first in a downturn; a 10-lot note is concentration by definition; foreclosure on tax liens is slow; a delinquent developer holding all the lots is the realistic bad case.

What survived, and why. The 4-to-1 appraised cushion (against a 3-to-1 legal floor), independent MAI valuation under state standards, tax roll collection, coverage cushion in the levy, and the foreclosure remedy are the same stack the market already accepts at larger scale. The honest posture holds: each note is one project, the purchaser underwrites that project, and nothing in the package implies diversification. **Casualties:** any pooling or diversification language (never permitted into the materials); any suggestion that the cushion eliminates loss rather than absorbing it. **Residual risk:** severe market decline between funding and sellout; mitigants are small note size, finished-lot collateral, and the cushion, not magic.

Attack 3: Competitive

The case against. CSCDA and CMFA have the members, the counsel benches, and the brands; if the small segment turns out to be profitable, BOLD could bolt on an annexation model and take it.

What survived, and why. True, and the package says so out loud. The defense is speed, focus, and service economics: incumbents' cost structures and calendars are tuned for their segment, and repurposing them is a real project, not a memo. The durable asset is the standardized library plus the administration book that compounds with every closed zone. **Casualties:** any claim of exclusivity, first-mover status, or a protected moat (none appear anywhere). **Residual risk:** real and permanent; the answer is to be the best operator in the segment, not the only one.

Attack 4: Operational economics

The case against. The whole thesis rests on a founder estimate of \$5,000 to \$30,000 per annexation. If real quotes come back at \$60,000, the model is dead at small sizes.

What survived, and why. The estimate is labeled a founder estimate on every surface, the pilot is explicitly designed to prove or kill it, and the architecture (template documents, zone exhibits generated from the workbook, one formation per city) is the cost-control mechanism itself. **Casualties:** the earlier sub-\$10,000 execution claim and the \$50,000 minimum (removed in the first red-team loop and kept out); any published minimum deal size (an open founder item in the Build Log batch). **Residual risk:** the central one; it is the pilot's job.

Attack 5: Reputational

The case against. "Mello-Roos" carries homeowner baggage in California; one angry buyer with a tax bill and a reporter is a bad week; a young program wears the story worst.

What survived, and why. The protections are real and get said first: buyer disclosure before purchase, a defined prepayment right, the 10 percent delinquency shield (53321(d)), a value basis the tax can never use (53325.3), and a total-burden benchmark at 2 percent of home value. The plain-language primer and website FAQ exist precisely so the program's own words are the clearest ones in the room. **Casualties:** hype voice anywhere; the retired "School Fee" tagline. **Residual risk:** perception is not controllable, only prepared for.

Attack 6: Execution and key person

The case against. One founder, one builder, no signed team, a live trademark conflict, and a pipeline of decisions parked in a question batch.

What survived, and why. The sourcing plan puts recognized firms in every scrutinized seat with contract terms that survive turnover (shadow rights, data export, transition assistance); the document library makes the process legible to a successor; the credibility plan converts newness into conservatism. **Casualties:** none to remove, because the package never claimed a team it does not have. **Residual risk:** the trademark (gated before launch) and the ten questions, all of which block release rather than construction.

Casualties table (removed or never permitted)

Claim or feature	Status
"No financing mechanism exists" and any first-ever language	Removed in the first red-team loop; scanner-enforced ever since
PACE as legal authority	Never permitted; analogy-only framing enforced
Sub-\$10,000 execution cost; \$50,000 minimum	Removed; replaced by labeled founder estimate and "set at feasibility screening"
School fee financing at launch	Excluded on every surface
Quoted interest rates as fact	Never permitted; targets only, set at term sheet
Diversification or pooling implications	Never permitted
Pilot specifics in external materials	Withheld pending question 4
Unverified quarantine drafts	Excluded from the package

Completeness critic: the Master Plan's definition of done

#	Deliverable	Verdict
1	Master Plan	Done; delivered first after correction; PDF verified
2	Claims Register	Done; every claim sourced or flagged; extended twice during verification
3	Program Whitepaper	Done fresh (v1.0); sweep clean; no red-team casualty survives in it
4	INS-201 Checklist	Done fresh from the true E.1-E.10 source; form-usable
5	Marketing one-pagers (3)	Done; single-page each; sweep clean; quote guard passed
6	Brand kit and assets	Done; SVG logo masters created; disclaimer block standardized
7	Website with calculator	Done; self-contained; calculator unit-tested; JavaScript execution proven; screenshots packaged
8	Stakeholder deck	Done; 14 slides; schema validator passed; table-aware sweep clean; thumbnails packaged
9	Build Log with question batch	Done; ten questions, each with a working answer
10	Kill Memo	This document

Bottom line. The program survives its own red team with three honest scars it must carry into the pilot: per-deal economics are unproven, purchaser appetite is unproven, and the incumbents are free to follow. Everything the attacks actually killed was already outside the package.

INSITE™ is a pre-launch program concept administered by HGF Management Company. Internal adversarial review. Not an offer of financing, legal advice, or investment advice.